

story to tell. Retail and HNIs were pulling out the spare money in their trading accounts to invest in the Reliance Power IPO.

This would turn out to be the clinching factor that would ravage the market in less than two weeks, when the market suddenly reversed course. I thought over this piece of information hard. Were the market to fall sharply for some reason, most retail investors and HNIs would not have money to meet their margin requirements, leave alone take advantage of the correction by buying at lower levels.

I decided to take a very bold gamble: I would short Nifty futures as heavily as I could first thing the following morning. Like a giant vacuum cleaner, the R-Power issue was sucking out more liquidity from the system than was good for the market. I did not have to count on a major trend reversal to be able to make a killing by going short. A precipitous fall over a few sessions would be good enough, and right now the market did look vulnerable to a bruising fall.

The following morning I started hammering away at Nifty futures as soon as the market opened for trading. I knew that at least two other respected names in the market had taken a similar view and were short on the market. One of them was a value investor who also had sizeable trading positions; the other was a trader who managed the proprietary book of a top US investment bank.

The sense of uneasiness among brokers and investors was now giving way to panic. In three trading sessions, the Sensex had fallen nearly 1,000 points and the Nifty around 260 points. There was mayhem in the futures of many mid-cap stocks as brokers squared off client positions when margin calls could not be met. Amid the carnage, the Reliance Power issue got subscribed over 65 times, making history in terms of bids received. The institutional portion of the book (50 per cent) was subscribed 82 times, the non-institutional portion 160 times and the retail portion around 10 times. In all, the company received over 50 lakh bids collectively worth Rs 7.5 lakh crore. To put this figure in perspective, it was equivalent to the Plan and Non-Plan expenditure estimated by the government in that year's Budget. Given such strong demand, the issue price was fixed at the top end of the price band, at Rs 450 a share. Retail investors would be allotted the shares at Rs 420 apiece, 5 per cent lower than the issue price for institutional investors, HNIs and corporations.